

Class 3: Analysing Transactions and Events (1/2)

PRACTICE QUESTIONS: SOLUTIONS

These practice questions are designed to help improve your understanding of the course material. The questions referenced in this document can be found at the **end of each chapter in your textbook**.

Use the **Table of Contents** below to identify the list of questions and the **suggested time** for completing each one. When using this resource:

- ☐ **Do the exercises soon after the lecture** and ideally **before tutorials**. Studies on learning show that practicing material shortly after it's introduced improves understanding and retention. Spacing out your practice and reviewing regularly also strengthens long-term memory.
- ☐ **Attempt the exercises first** without looking at the solutions or debriefing notes. This will help you simulate real exam conditions and identify areas where you may need further practice.
- ☐ Be **conscious of the suggested time** for each question. Staying aware of time management is a valuable skill for exams.
- ☐ After completing the exercises, use the solutions provided to **debrief your work**. Compare your answers, understand any mistakes, and learn from them to solidify your understanding of the concepts.

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CH. 2 | CONSTRUCTING FINANCIAL STATEMENTS**M2-14 (~ 10 min)**

a. Cash		\$ 8,000
Accounts receivable		23,000
Supplies		9,000
Equipment		<u>138,000</u>
		178,000
Accounts payable	\$ 11,000	
Share Capital	<u>110,000</u>	<u>121,000</u>
Retained earnings		<u>\$ 57,000</u>
b. Retained Earnings:		
December 31, 2020	\$ 57,000	
January 1, 2020	<u>30,000</u>	
Increase	27,000	
Add: Dividends	<u>12,000</u>	
Net Income	<u>\$ 39,000</u>	

M2-15 (~ 5 min)

- a. $\$200,000 - \$85,000 = \$115,000$ equity
- b. $\$32,000 + \$28,000 = \$60,000$ assets
- c. $\$93,000 - \$52,000 = \$41,000$ liabilities

M2-16 (~ 5 min)

- a. $\$375,000 - \$105,000 = \$270,000$ equity
- b. $\$43,000 + \$11,000 = \$54,000$ assets
- c. $\$878,000 - \$422,000 = \$456,000$ liabilities

M2-17 (~ 5 min)

- a. $\$450,000 - \$326,000 = \$124,000$ equity
- b. $\$618,000 - \$165,000 = \$453,000$ liabilities.
- c. $\$400,000 + \$200,000 + \$185,000 = \$785,000$ assets.

M2-19 (~ 5 min)

- | | |
|---------------------|---------------------|
| a. Balance sheet | g. Balance sheet |
| b. Income statement | h. Balance sheet |
| c. Balance sheet | i. Income statement |
| d. Income statement | j. Income statement |
| e. Balance sheet | k. Balance sheet |
| f. Balance sheet | l. Balance sheet |

M2-23 (~ 5 min)

- a. Balance sheet
- b. Income statement
- c. Statement of changes in equity, Balance sheet
- d. Income statement
- e. Statement of changes in equity
- f. Balance sheet
- g. Balance sheet
- h. Balance sheet

M2-27 (~ 5 min)

WYNYARD COMPANY Statement of Retained Earnings For Year Ended January 1, 2021	
Retained earnings, Jan. 2, 2020	\$77,773
Add: Net income	9,672
Less: Dividends	(6,156)
Other retained earnings changes	<u>38</u>
Retained earnings, January 1, 2021	<u>\$81,251</u>

E2-38 (~ 10 min)

a.

Philips (€ millions)	Amount	Classification
Net sales.....	€ 19,482	I
Income tax expense.....	337	I
Retained earnings.....	8,296	B
Net earnings	1,173	I
Property, plant and equipment (net)	2,866	B
General and admin expense.....	631	I
Accounts receivable.....	4,554	B
Total liabilities	14,391	B
Equity.....	12,625	B

b. Total assets = Total liabilities + Total equity

Total assets = €14,391 + €12,625 = €27,016

Net Sales – Total Expenses = Net Income

€19,482 – Total Expenses = €1,173; Thus, Total Expenses = €18,309

c. Return on equity = Net income / Avg. total equity

= €1,173 / €12,625 = 0.093 or 9.3%

ROE is an estimate because we have only this year's equity for the denominator.

Debt-to-equity ratio = Total liabilities / Total equity

= €14,391 / €12,625 = 1.14

E2-42 (~ 15 min)

Transaction

Transaction	Balance Sheet						Income Statement		
	Cash Asset	+ Noncash Assets	= Liabilities	+ Contrib. Capital	+ Earned Capital		Revenues	- Expenses	= Net Income
(1) Receive €50,000 in exchange for ordinary shares	+50,000 Cash		=		+50,000 Share Capital		-		=
(2) Borrow €10,000 from bank.	+10,000 Cash		=	+10,000 Notes Payable			-		=
(3) Purchase €2,000 of supplies inventory on credit.		+2,000 Inventory	=	+2,000 Accounts Payable			-		=
(4) Receive €15,000 cash from customers for services provided.	+15,000 Cash		=		+15,000 Retained Earnings	+15,000 Revenue	-		= +15,000
(5) Pay €2,000 cash to supplier in part (c).	- 2,000 Cash		=	- 2,000 Accounts Payable			-		=
(6) Receive order for future services with €3,500 advance payment.	+3,500 Cash		=	+3,500 Unearned Revenue			-		=
(7) Pay €5,000 cash dividend to shareholders.	- 5,000 Cash		=		- 5,000 Retained Earnings		-		=
(8) Pay employees €6,000 cash for compensation earned.	- 6,000 Cash		=		- 6,000 Retained Earnings		-	+6,000 Wages Expense	= - 6,000
(9) Pay €500 cash for interest on loan in (2).	- 500 Cash		=		- 500 Retained Earnings		-	+500 Interest Expense	= - 500
Totals	+65,000	+ 2,000	= 13,500	+ 50,000	+ 3,500	15,000	-	6,500	= 8,500

P2-47 (~ 10 min)

Samsung Electronics Co. Ltd.

Balance Sheet									Income Statement					
Transaction	Cash Asset	+	Noncash Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income
1. Record sales revenue for 2020			+228,692,667						+228,692,667	+228,692,667				+228,692,667
			Accounts receivable	=					Retained Earnings	Revenue	-		=	
2. Record cost of sales for 2020			-137,696,309						-137,696,309			+137,696,309		
			Inventory	=					Retained Earnings		-	Cost of sales	=	-137,696,309
3.. Record finance costs for 2020									-7,754,972			+7,754,972		-7,754,972
	-7,754,972			=					Retained Earnings		-	Finance cost	=	
4. Record income tax expense for 2020.					+7,889,515				-7,889,515			+7,889,515		
					Income Tax Payable				Retained Earnings			Income tax expense		-7,889,515

P2-65 (~ 30 min)

a & b.

Balance Sheet									Income Statement					
Transaction	Cash Asset	+	Noncash Assets	=	Liabil-ities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income
Beginning Balances	+5,000		+5,200	=	+3,500		+5,500		+1,200		-			
1. Paid \$600 cash toward accounts payable	-600 Cash			=	-600 Accounts Payable						-		=	
2. Paid rent in cash: \$3,600	-3,600 Cash			=					-3,600 Retained Earnings			+3,600 - Rent Expense	=	-3,600
3. Billed clients \$11,500			+11,500 Accounts Receivable	=					+11,500 Retained Earnings	+11,500 Services Revenue			=	+11,500
4. \$500 invoice received for advertising				=	+500 Accounts Payable				-500 Retained Earnings			+500 - Advertising Expense	=	-500
5. Cash collected on account: \$10,000	+10,000 Cash		-10,000 Accounts Receivable	=							-		=	
6. Paid wages expense in cash: \$2,400	-2,400 Cash			=					-2,400 Retained Earnings			+2,400 - Wages Expense	=	-2,400
7. Invoiced for utility expense: \$680				=	+680 Accounts Payable				-680 Retained Earnings			+680 - Utilities Expense	=	-680
8. Paid \$20 cash for interest on note	-20 Cash			=					-20 Retained Earnings			+20 - Interest Expense	=	-20
9. Paid \$900 cash dividend	-900 Cash			=					-900 Retained Earnings				=	
10. Paid \$4,000 cash for sound equipment	-4,000 Cash		+4,000 Equipment	=									=	
TOTALS	\$3,480	+	\$10,700	=	\$4,080	+	\$5,500	+	\$4,600	\$11,500	-	\$7,200	=	\$4,300

continued next page

P2-65. concluded

c.

SAMBA AEROBICS, INC. Income Statement For Month Ended January 31, 2020		
Sales revenue		\$11,500
Expenses		
Rent expense	3,600	
Advertising expense	500	
Wages expense	2,400	
Interest expense	20	
Utilities expense	<u>680</u>	
Total expenses		<u>7,200</u>
Net income		<u>\$4,300</u>

d.

Samba Aerobics, Inc. Statement of Changes in Equity For Month Ended January 31, 2020			
	Share Capital	Retained Earnings	Total Equity
Balance at January 1, 2020	\$5,500	\$1,200	\$6,700
Share issuance			
Dividends		(900)	(900)
Net income		<u>4,300</u>	<u>4,300</u>
Balance at January 31, 2020	<u>\$5,500</u>	<u>\$4,600</u>	<u>\$10,100</u>

e.

Samba Aerobics, Inc. Balance Sheet January 31, 2020			
Cash	\$ 3,480	Accounts payable	\$ 1,580
Accounts receivable	6,700	Notes payable	<u>2,500</u>
Equipment	<u>4,000</u>	Total liabilities	4,080
Total assets	<u>\$14,180</u>	Share Capital	5,500
		Retained earnings	<u>4,600</u>
		Total liabilities and equity	<u>\$14,180</u>